



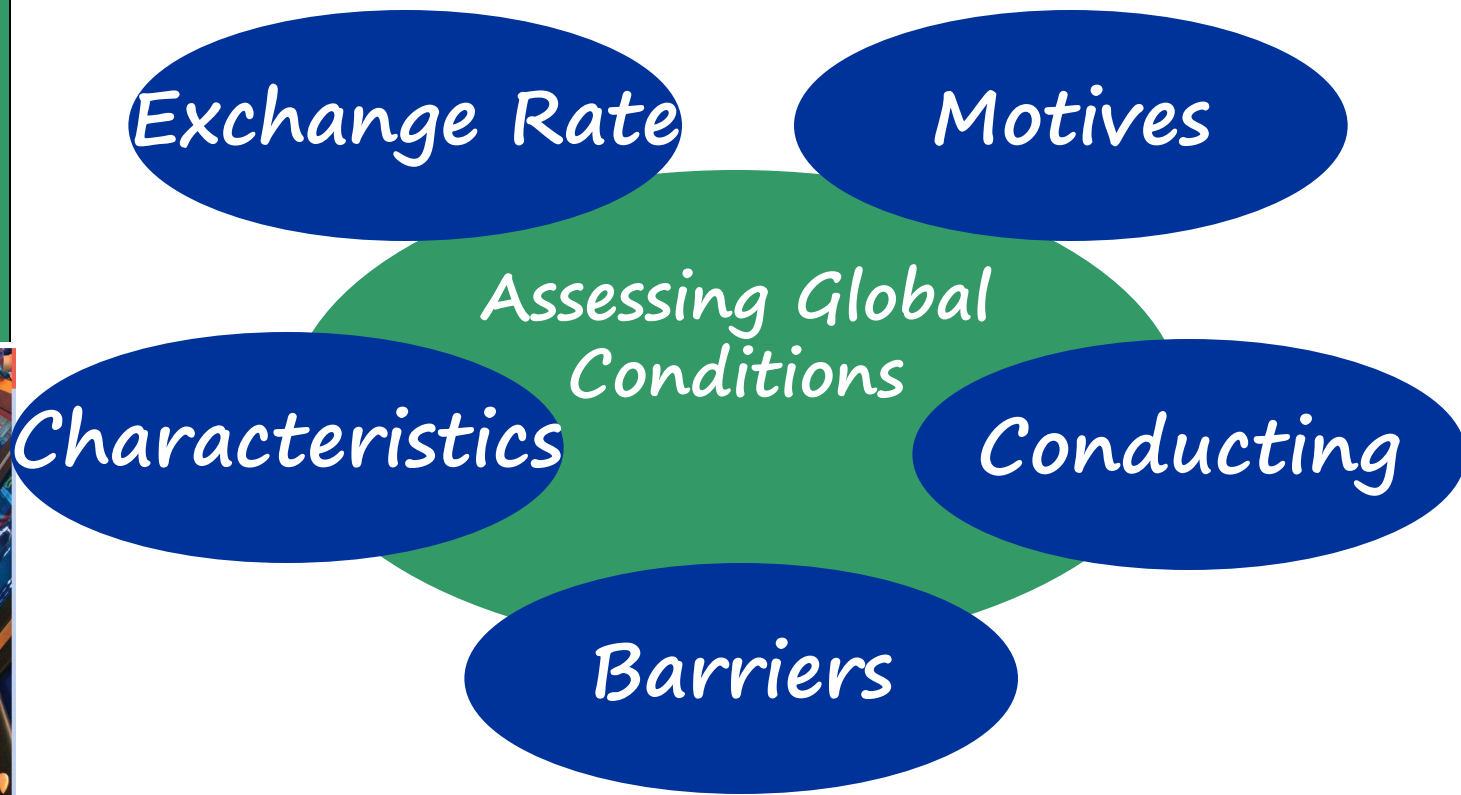
INTRODUCTION
TO BUSINESS 4e

JEFF MADURA

Chapter 4

Assessing Global Conditions

Learning Objectives



Motives for International

Motives
Conducting
Barriers
Characteristic
s
Exchange
Rate



Foreign Demand

Technology

Resources

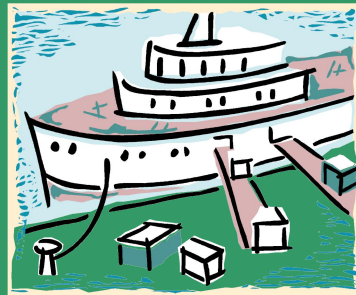
Diversification

Combination of Motives



Importing & Exporting

Motives
Conducting
Barriers
Characteristic
s
Exchange
Rate



Importing

Tariff

Quota

Exporting

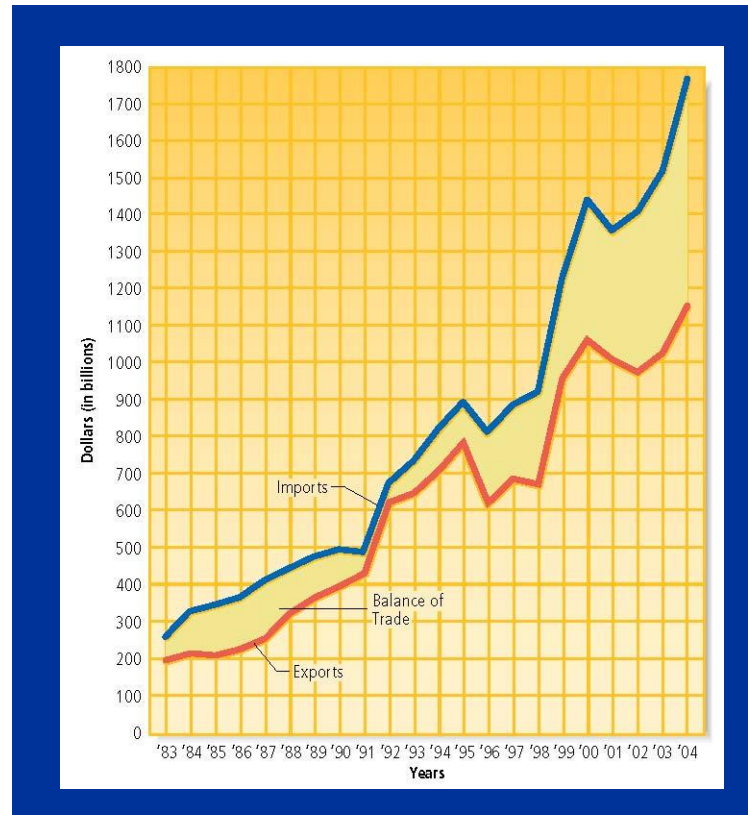
Internet



Assessing Global Conditions

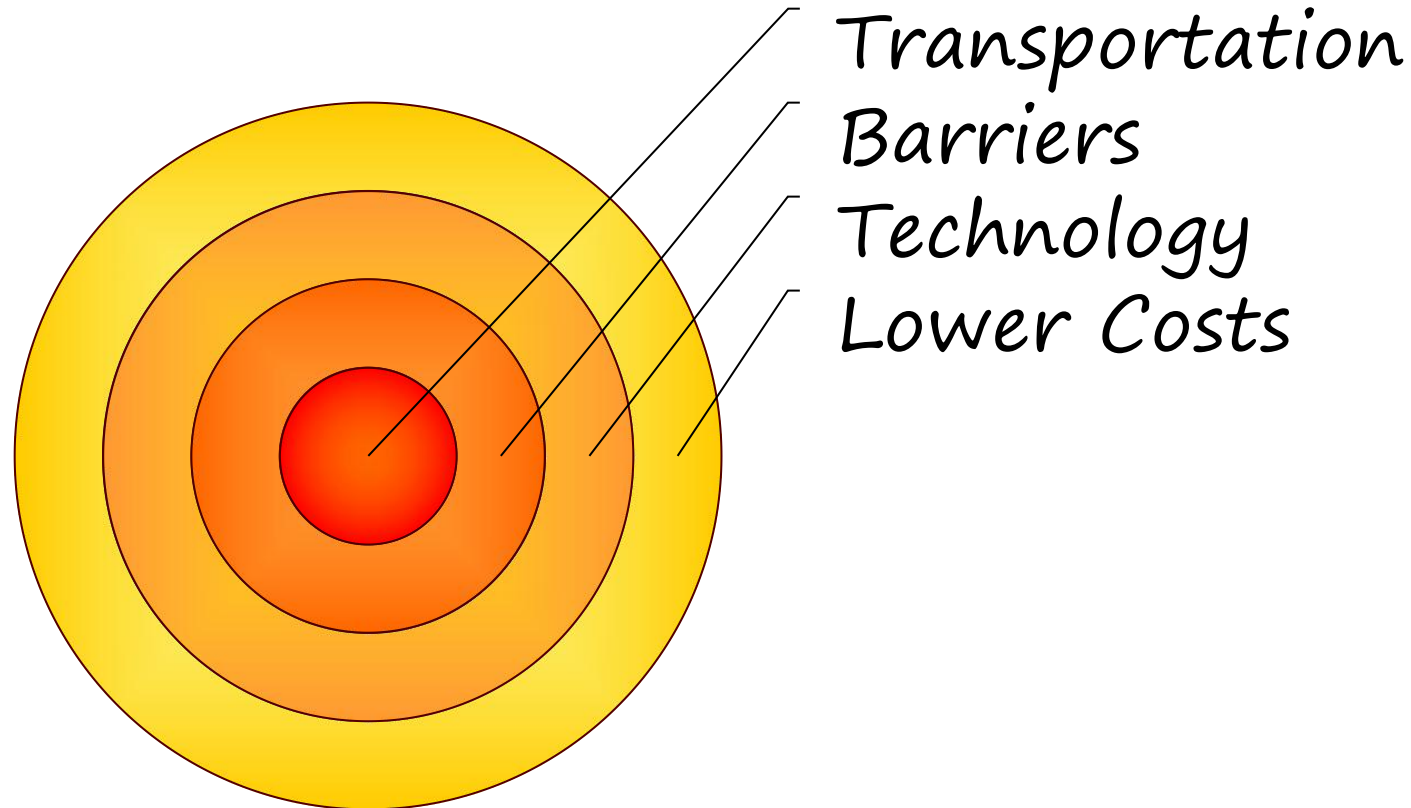
Motives
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Balance of Trade



Direct Foreign Investment

Motives
Conducting
Barriers
Characteristic
s
Exchange
Rate



Motives
Conducting
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Outsourcing



Lower Cost Labor

Motives
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Strategic Alliances

Strategic Alliances



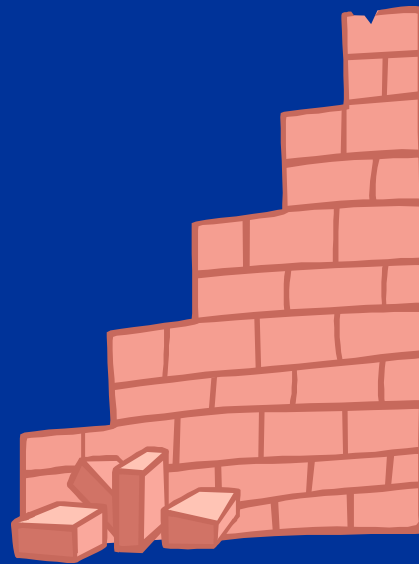
Joint Venture

International
Licensing



Barriers to International Business

Reduction in Barriers



NAFTA

GATT - WTO

Latin America

European Union

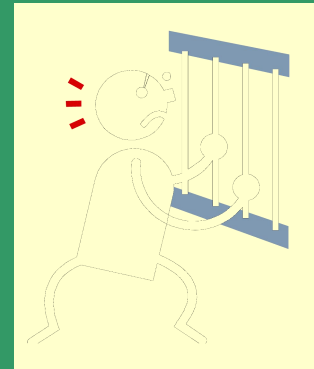


Motives
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Remaining Barriers



Protection



Punishment



Motives
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Disagreements



Environment

Labor

Bribery

Taxation

Foreign Characteristics

Motives
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Culture



Motives
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Economic Systems

Capitalism

Communism

Socialism



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Economic Conditions

Exhibit 4.4

Comparing the Influence of the Canadian Economy on Two U.S. Firms

U.S. Firm	Total Annual Revenue	Proportion of Canadian Business	Proportion of U.S. Business	Annual Revenue from Canadian Business	Annual Revenue from U.S. Business
Firm X	\$100,000,000	20%	80%	\$20,000,000	\$80,000,000
Firm Y	10,000,000	60%	40%	6,000,000	4,000,000

Sensitivity

Economic
Growth



Motives
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Risk & Regulation



Political
Risk



Corruption



Assessing Global Conditions

Explain why a business may want to sell its product or service in a foreign country.



Assessing Global Conditions

A business may want to sell its product in a foreign country to attract foreign demand for its product or service. Another reason would be to capitalize on technology; that is, a business may want to enter a country where its technological expertise gives it a competitive advantage or enables it to introduce products that previously were not available in the foreign market. A business may elect to enter a foreign country where resource costs are low, allowing the firm to reduce costs of production. Finally, a firm may want to diversify internationally and thus spread its risk across a global market.



What are tariffs and quotas? Explain how tariffs or quotas affect the price of imports.



Assessing Global Conditions

Governments can impose a tariff or a quota on imported products. A tariff is a tax on imported products that is normally paid directly by the importer, who typically will pass the tax on to consumers by charging a higher price for the product. A quota is a limit on the quantity of the product permitted to enter a country. Normally, the restricted supply of goods subject to quotas enables importers to increase the price of these goods. Therefore, both tariffs and quotas are expected to increase the price of imports.



*What is direct foreign investment (DFI)?
Why should a company be particularly
careful when engaging in DFI?*



Direct foreign investment (DFI) is a means of acquiring or building subsidiaries in one or more foreign countries.

A firm needs to be particularly careful when conducting DFI because the decision cannot be easily reversed, since the foreign facilities would have to be sold at a loss in most cases. Therefore, firms should conduct a thorough analysis of costs and benefits before implementing the idea.



Explain the difference between a direct foreign investment and a strategic alliance undertaken by an international business.



Assessing Global Conditions

A firm makes a direct foreign investment when it acquires or builds subsidiaries in one or more foreign countries. A firm enters into a strategic alliance with a foreign business if it enters into an agreement with the foreign firm that represents the best interests of the parties involved. There are various types of international alliances between U.S. firms and foreign firms. Two of the most common are joint ventures and international licensing agreements. A strategic alliance typically involves some profit sharing, which is a disadvantage relative to DFI. The advantage of strategic alliances relative to DFI is that a firm is able to sell its products in foreign markets without the costs involved in exporting or DFI.

